

UNIT III

COLLECTIVE BARGAINING, STRIKES & LOCKOUTS

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COLLECTIVE BARGAINING: MEANING

- Collective bargaining = negotiation between employer(s) and workers' representative(s).
- It provides an opportunity for workers to participate in determining terms and conditions of employment.
- The term was first used in the 19th century by Beatrice Webb.
- ILO: negotiation concerning working conditions and terms of employment with a view to reaching agreement.

OBJECTIVES OF COLLECTIVE BARGAINING

- Regulation of wages and conditions of service.
- Regulation of labour-management relations.
- Balancing legitimate expectations of employers and workers.
- Promotion of industrial democracy.
- Settlement of differences through negotiation rather than unilateral action.

ESSENTIAL CONDITIONS

- Right to form associations and organise – Article 19(1)(c), Constitution.
- Stable and strong registered trade union.
- Recognition of the trade union as bargaining representative.
- Willingness of employer and workers to negotiate.
- A representative bargaining structure is necessary where multiple unions exist.

LEGAL BASIS OF COLLECTIVE BARGAINING

- Constitution of India: Article 19(1)(c) – right to form associations/unions.
- Article 43A – participation of workers in management.
- Industrial Relations Code, 2020: §2(zi), §14, §§57–58 and §86(17).
- Settlement under §2(zi) expressly includes a written agreement between employer and worker.
- §57 makes a settlement arrived at by agreement binding on the parties.

RECOGNITION – SECTION 14

- §14 introduces the negotiating union / negotiating council.
- Every industrial establishment having a registered Trade Union must have a negotiating union or negotiating council, subject to the statutory criteria.
- Recognition identifies the legitimate bargaining representative.
- Registration of a union does not by itself mean that the employer has recognised it as bargaining representative.

SOLE NEGOTIATING UNION

Only one registered Trade Union functioning → employer recognises it as the sole negotiating union, subject to prescribed criteria.

Central Rules: the union must have at least 30% membership for recognition in this situation.

Where multiple unions exist, a union with support of 51% of workers on the muster roll becomes the sole negotiating union.

Membership/support is verified as prescribed.

NEGOTIATING COUNCIL – §14(4)

- Where multiple registered unions exist and none has 51% or more support, a negotiating council is constituted.
- Only unions having at least 20% support are represented.
- Representation: one representative for each 20% support, with representation calculated for the remainder as prescribed.

Negotiating Council — Section 14(4), Industrial Relations Code, 2020

Example: An industrial establishment has 2,000 workers

Trade Union	Workers supporting the Union	% Support	Eligible?
Union A	800 workers	40%	✓ Yes
Union B	600 workers	30%	✓ Yes
Union C	400 workers	20%	✓ Yes
Union D	200 workers	10%	✗ No
Total	2,000 workers	100%	

Negotiating Council — Section 14(4), Industrial Relations Code, 2020

Example: An industrial establishment has 2,000 workers

Trade Union	Workers supporting the Union	% Support	Representation calculation
Union A	800 workers	40%	$20\% + 20\% = 2$ representatives
Union B	600 workers	30%	$20\% + 10\%$ remainder= 1 Representative
Union C	400 workers	20%	1 representative
Union D	200 workers	10%	No representation
Total	2,000 workers	100%	

DURATION OF RECOGNITION

- §14(6): recognition/negotiating council is valid for 3 years.
- The parties may mutually agree to extend it, but the total period cannot exceed 5 years.
- The prescribed negotiating matters may be regulated through rules under the Code.

COLLECTIVE BARGAINING: PROCESS

1. Charter of demands
2. Negotiations
3. Collective bargaining agreement / settlement
4. Implementation and enforcement of the settlement

STEP 1 – CHARTER OF DEMANDS

- Trade union notifies employer to initiate negotiations; employer may also initiate.
- Union prepares and presents demands.
- Typical demands: wages, bonus, gratuity, working hours, leave, welfare facilities and working conditions.
- The demands become the basis for negotiations.

STEP 2 – NEGOTIATIONS

- Negotiation follows submission of demands.
- Recognised negotiating union/council represents workers.
- Parties discuss demands and counter-demands to reach an agreement.
- The bargaining process may cover wages, working hours, leave, bonus, working conditions and disciplinary/other employment matters.

STEP 3 – SETTLEMENT

- ‘Settlement’ is defined in §2(zi).
- It includes a settlement reached during conciliation and a written agreement reached otherwise, if statutory formalities are satisfied.
- §57: a settlement arrived at by agreement otherwise than in conciliation is binding on the parties.
- §58: operation and duration of settlements are governed by the terms agreed by the parties.

SECTION 58 – PERIOD OF OPERATION

- Settlement operates from the agreed date; if no date is agreed, from the date the memorandum is signed.
- It binds parties for the agreed period.
- If no period is agreed, it operates for 6 months from signing.
- After expiry, it continues until 60 days after written notice of intention to terminate is given.

BREACH OF SETTLEMENT – §86(17)

- Breach of a binding settlement or award is punishable.
- Fine: ₹20,000 to ₹2,00,000; or
- Imprisonment up to 3 months; or Both.
- The provision gives enforceability to negotiated settlements.

STRIKES: LEGALITY

STRIKE: MEANING

- **IR Code §2(zk):** cessation of work by a body of persons employed in an industry acting in combination, or concerted/refusal under a common understanding to continue work or accept employment.
- **It also includes** concerted casual leave on a given day by 50% or more workers employed in an industry.
- Key elements: cessation/refusal to work + body of workers + common understanding/combination.

ESSENTIAL INGREDIENTS OF A STRIKE

- Cessation of work.
- By a body of workers.
- Workers are employed in an industry.
- Workers act in combination.
- There is a concerted refusal or refusal under a common understanding.
- A mere threat or apprehension of a future strike is not itself a strike.

KINDS OF STRIKES

1. General strike
2. Token strike
3. Stay-in / sit-down / pen-down / tool-down strike
4. Go-slow
5. Hunger strike
6. Lightning / wildcat strike
7. Work-to-rule

STAY-IN / SIT-DOWN STRIKE

- Workers remain at the workplace but refuse to work.
- **Punjab National Bank Ltd. v. All India PNB Employees' Federation (AIR 1960)**: employees remained at their seats and refused to work following a union call.
- Supreme Court: refusal under a common understanding to continue work can constitute a strike under §2(q), ID Act.
- The fact that workers remain on the premises does not prevent the conduct from being a strike.

GO-SLOW

- Workers continue working but deliberately reduce the pace of work/production.
- there is no 'cessation of work' for the statutory definition, but the conduct may constitute serious misconduct.
- *Bharat Sugar Mills v. Jai Singh* (1961): go-slow may be more harmful than complete cessation because machinery continues operating at reduced speed.
- *Bank of India v. T.S. Kelawala* (1990): go-slow described as serious misconduct and a damaging breach of employment discipline.

HUNGER & LIGHTNING/WILDCAT STRIKES

- **Hunger strike:** fasting to exert moral pressure for acceptance of demands.
- **Lightning/wildcat strike:** workers suddenly withdraw labour and bargain afterwards.
- such sudden strikes were particularly restricted where prior notice was required in public utility services.
- Legality must ultimately be tested against the applicable statutory requirements.

WORK-TO-RULE

- Workers remain on duty but follow rules strictly and refuse work beyond the literal requirements.
- Examples: no overtime, no additional duties, no work beyond minimum standards.
- The objective/effect is to slow or disrupt normal operations while technically following workplace rules.

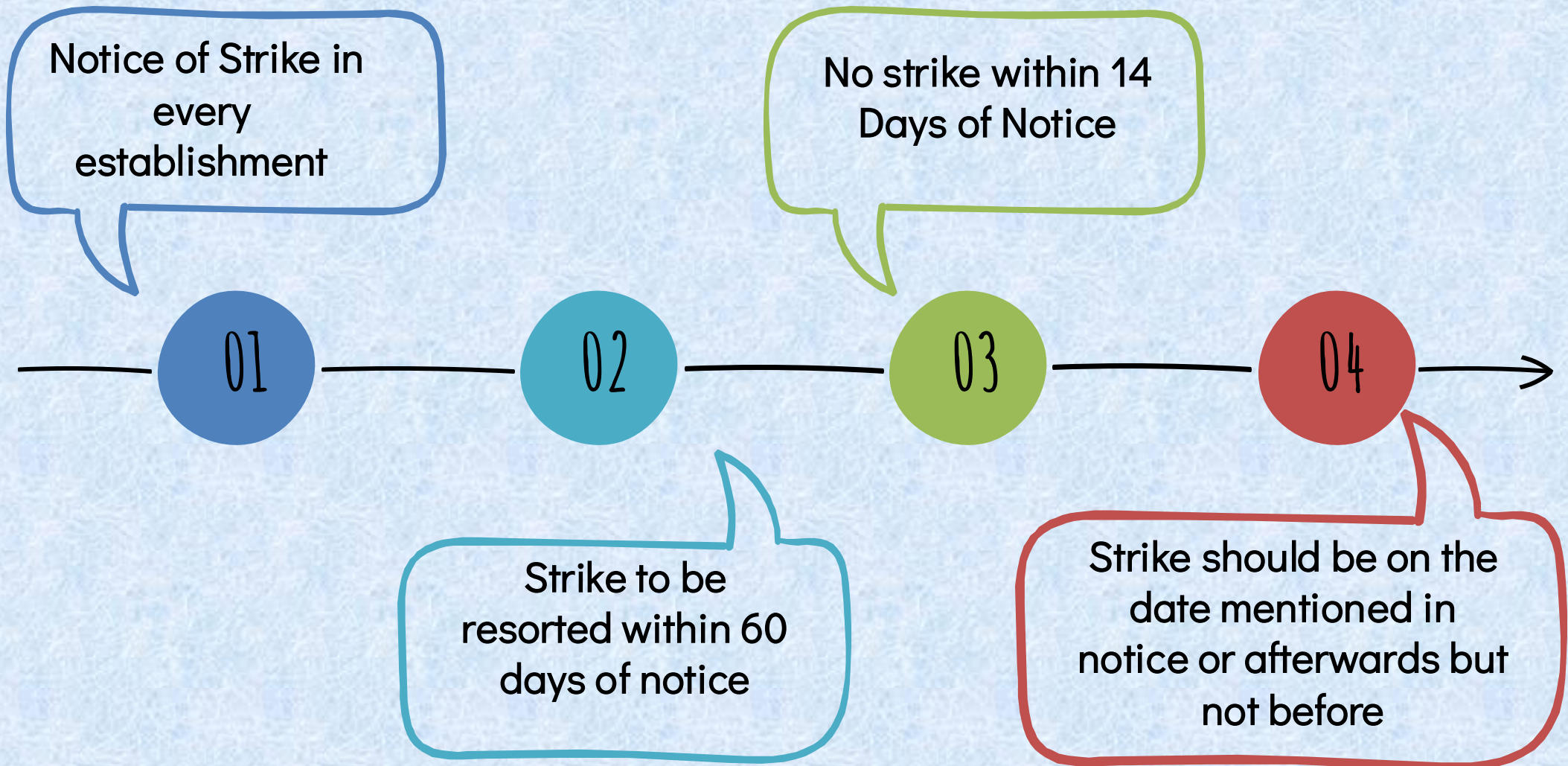
RIGHT TO STRIKE

- All India Bank Employees Association v. National Industrial Tribunal (1962): Article 19(1)(c) does not guarantee a fundamental right to strike.
- A.P. Electrical Equipment Corp. v. A.P. Electrical Equipment Corporation Staff Union (1986): right to strike/lockout is controlled by statutory provisions.
- B.R. Singh v. Union of India (1990): strike is recognised as a mode of redressal, but the right is subject to restrictions.

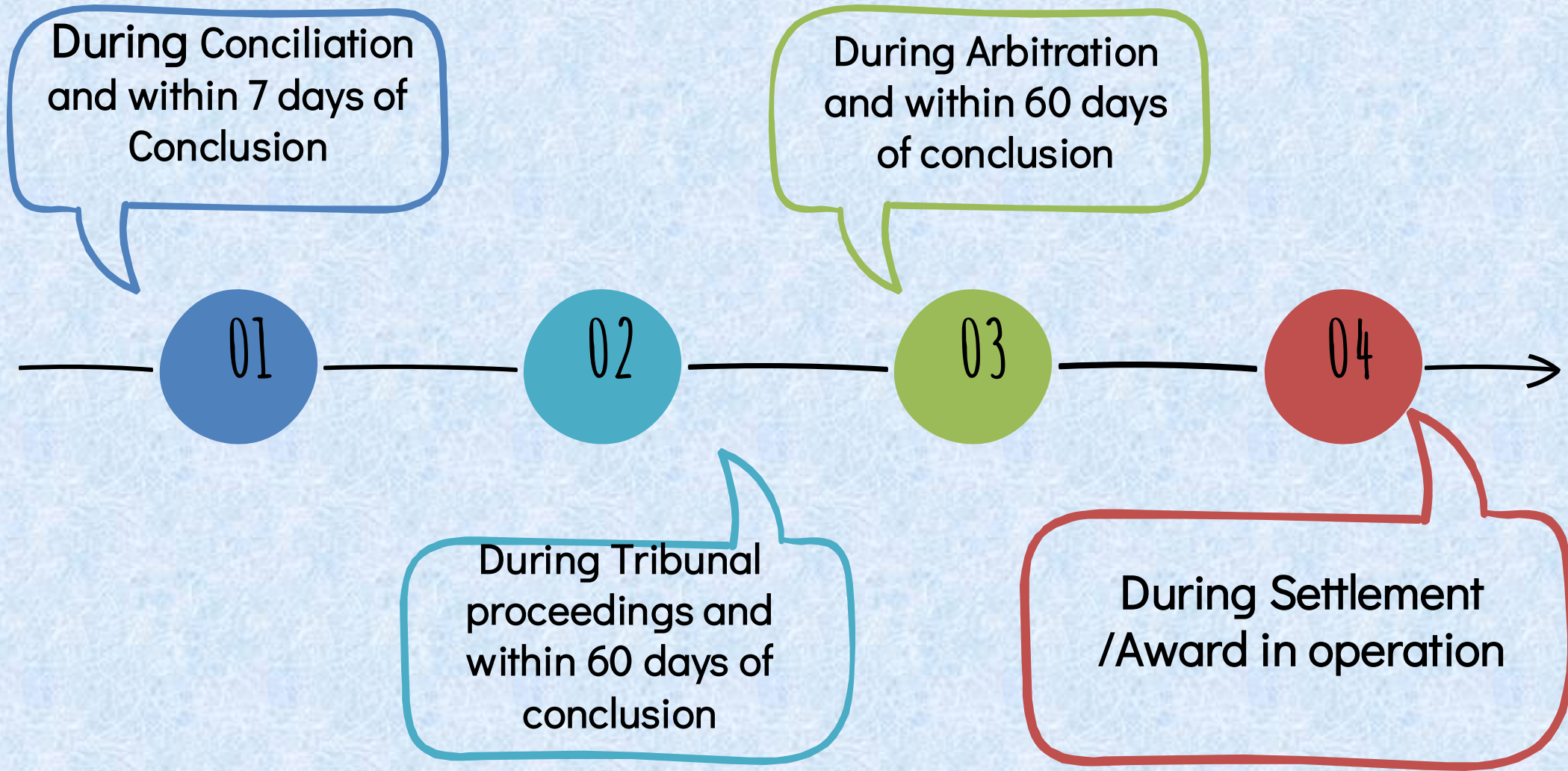
STRIKE: ID ACT → IR CODE

- Industrial Disputes Act, 1947: notice requirement under §22 applied specifically to public utility services.
- IR Code, 2020 broadens the notice requirement to industrial establishments generally.
- Under §62, a strike cannot be resorted to in breach of contract without the prescribed notice.
- Strike must be resorted to within 60 days of notice; no strike within 14 days of giving notice.

How and when to strike?



Prohibition of strike during the following:



Section 62(1) IR Code 2020: Prohibitions on Strike



Strike Notice: 60 days before striking (i.e, after notice, strike to be within 60 days)



NO STRIKE: within 14 days of giving Notice
NO STRIKE: before the expiry of date of strike mentioned



NO STRIKE: During pendency of Conciliation proceeding before CO and within 7 days of conclusion of proceedings



NO STRIKE: During pendency of proceeding before Tribunal or National Tribunal and within 60 days of conclusion of proceedings



NO STRIKE: During pendency of proceeding before Arbitrator and within 60 days of conclusion of proceedings



NO STRIKE: During any period in which a settlement or award is in operation

S. 60(1)- “NO STRIKE: During pendency of proceeding before Tribunal or National Tribunal/Arbitrator and within 60 days of conclusion of proceedings” **has to be read with Section 63(2)** Which provides:

Where **a strike or lock-out** in pursuance of an industrial dispute **has already commenced** and **is in existence at the time of the filing** of the application relating to such industrial dispute in the *Tribunal or of the reference of such industrial dispute to an arbitrator or a National Industrial Tribunal*, **the continuance of such strike or lock-out shall not be deemed to be illegal**, provided that such strike or lock-out was not at its commencement in contravention of the provisions of this Code or **the continuance thereof was not prohibited under sub-section (7) of section 42.**

SECTION 62(1): WHEN STRIKE IS PROHIBITED

1. No strike without prescribed notice.
2. No strike within 14 days of giving notice.
3. No strike before the date specified in the notice.
4. No strike during conciliation proceedings and for 7 days after conclusion.
5. No strike during Tribunal/National Tribunal proceedings and for 60 days after conclusion.
6. No strike during arbitration proceedings and for 60 days after conclusion where the statutory notification applies.
7. No strike during the operation of a settlement or award.

STRIKE NOTICE – QUICK TEST

- NOTICE → wait 14 days → strike on/after the date specified.
- Strike must be within 60 days from the notice.
- Check whether conciliation, arbitration, Tribunal/National Tribunal proceedings are pending.
- Check whether a settlement or award is currently operating.
- A strike already in existence when a dispute is later referred may receive protection under §63(2), subject to the Code and §42(7).

SECTION 63 – ILLEGAL STRIKES

- A strike is illegal if it is commenced or declared in contravention of §62(1).
- It is also illegal if continued in contravention of an order made under §42(7).
- §63(2): where a strike was already lawfully in existence before later reference to Tribunal/arbitration/National Tribunal, its continuation is not automatically illegal, subject to the statutory conditions.
- If the Government prohibits continuation under §42(7), the strike must stop.

STRIKE ALREADY IN PROGRESS – §63(2)

- If workers are already on a strike and the dispute is subsequently referred to arbitration/Tribunal, continuation is not automatically illegal.
- The strike must have been lawful at commencement.
- Its continuation must not be prohibited under §42(7).
- If the dispute was referred first and workers subsequently want to strike, the §62 restrictions apply.

EXCEPTION: §42(7)

- Where an industrial dispute is referred to arbitration, Government may prohibit continuation of an existing strike connected with that dispute.
- If workers continue despite such an order, the strike becomes illegal under §63(1)(ii).

LOCKOUT: MEANING

- IR Code: 'lock-out' means temporary closing of a place of employment, suspension of work, or refusal by an employer to continue employing workers.
- A lockout is the employer-side industrial weapon corresponding to a strike.
- The employer must comply with the requirements of §62.

LOCKOUT – SECTION 62(2)

1. No lockout without prescribed notice.
2. No lockout within 14 days of notice.
3. No lockout before the date specified in the notice.
4. No lockout during conciliation proceedings and for 7 days after conclusion.
5. No lockout during Tribunal/National Tribunal proceedings and for 60 days after conclusion.
6. No lockout during applicable arbitration proceedings and for 60 days after conclusion.
7. No lockout during operation of a settlement or award.

PENALTY FOR ILLEGAL STRIKE – §86(13)

- Worker commencing, continuing or acting in furtherance of an illegal strike may face:
- Fine: ₹1,000 to ₹10,000; or
- Imprisonment up to 1 month; or Both.
- Compare: ID Act §26 provided imprisonment up to 1 month or fine up to ₹50, or both.



Legal, illegal, justified and
unjustified strikes

LEGAL ≠ JUSTIFIED

- Legality asks: Was the strike conducted in compliance with the Code?
- Justification asks: Were the circumstances/reasons for the strike sufficient?
- Therefore, a strike may be legal but unjustified.
- The source material also notes that a strike may be illegal but the circumstances may nevertheless raise questions of justification.
- Justification is fact-specific.

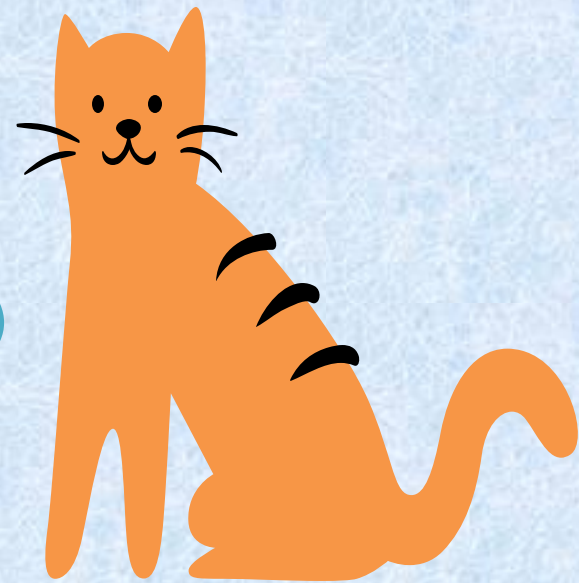
JUSTIFIED / UNJUSTIFIED: SOURCE FRAMEWORK

- Unreasonably high/non-bona fide demands or an object of merely embarrassing the employer may support a finding of unjustification.
- The surrounding circumstances, employer conduct, demands and workers' conduct must be considered.
- Violence, force or sabotage can affect entitlement to wages.

CONSEQUENCES & STRIKE WAGES

- A strike does not automatically terminate the employer-worker relationship.
- For wages, the legality and justification of the strike are material.
- workers participating in an illegal strike are not entitled to strike-period wages.
- For a legal and justified strike, wage entitlement depends on the circumstances and judicial determination.
- Violence, force or sabotage may disentitle workers to wages.

Case Law



CROMPTON GREAVES LTD. v. THE WORKMEN (1978)

- Facts: Company abruptly retrenched workers during ongoing efforts at conciliation.
- Workers struck after the retrenchment.
- Held: strike was not illegal and was justified on the facts.
- The Court treated the employer's abrupt action during conciliation as serious provocation.
- Principle: legality and justification are distinct; wage entitlement depends on the facts.

BANK OF INDIA v. T.S. KELAWALA (1990)

- Issue: entitlement to wages for strike period.
- Supreme Court applied the principle that wages depend on work performed and examined the 'no work, no pay' position.
- The case is important for the relationship between strike participation and wage deduction.
- Use with Syndicate Bank v. K. Umesh Nayak for the later position on legal and justified strikes.

SYNDICATE BANK v. K. UMESH NAYAK (1994)

- The case considered entitlement to wages during a strike.
- The Supreme Court distinguished the approach in Kelawala.
- the principle: wages are payable where the strike is both legal and justified.
- Whether a strike is justified is a question of fact in the circumstances of the case.

BHARAT PETROLEUM CORPORATION LTD. v. PETROLEUM EMPLOYEES' UNION (2001)

- Unions issued a strike notice during a dispute while conciliation was involved.
- Workers resorted to a flash strike and the company sought civil-court restraint.
- Court held that a civil suit to restrain employees from striking, where the dispute is governed by the special industrial statute, was not maintainable in the manner claimed.
- The case is useful for understanding statutory remedies and the legal regulation of strikes.

IMPORTANT PROVISIONS AT A GLANCE

§2(zi) – Settlement

§2(zk) – Strike

§14 – Negotiating union / negotiating council

§42(7) – Government prohibition on continuation of strike/lockout in specified arbitration situation

§57 – Persons on whom settlements/awards are binding

§58 – Period of operation of settlements/awards

§62 – Prohibition/procedure for strikes and lockouts

§63 – Illegal strikes and lockouts

§86(13) – Penalty for illegal strike

§86(17) – Penalty for breach of settlement/award



**Do you have
any
questions?**

